BETTER VICE CLUB

Learn.WitUS Curriculum

CentenarianOS Academy

Episode 1

Coffee

"The Morning Ritual"

Economics

Teacher Curriculum Packet

High School Pilot | 2025-2026

How Better Vice Club Works

Better Vice Club (BVC) is a podcast curriculum that teaches Geography, Social Studies, Economics, and English Language Arts through global commodities. Each episode follows a single substance from its geographic origin through its history, economics, and the literature it generated. Your packet isolates your subject so you can use it standalone, or coordinate with other departments for a full interdisciplinary unit.

What You Need

- Episode audio linked on the Episode Overview page. Episodes run 35 to 40 minutes. You can use the full episode or specific segments called CUT POINTS.
- This packet. All student-facing materials are here, ready to print or share digitally.
- No additional materials required for the core activities.

CUT POINTS

Each episode is divided into labeled segments. You do not need to play the full episode. CUT-1D is the Economics segment; CUT-1E is ELA, and so on. Start times are on the Episode Overview page.

The Four BVC Patterns

These four patterns repeat across all three seasons of BVC, covering 21 episodes. Each subject connects to the patterns most relevant to that discipline:

- Geography Insists. The physical landscape determines what can grow and how it tastes.
- Cultivation Begins Sacred. Most commodities begin as ceremonial practice before they become commercial products.
- Labor Captures the Smallest Share. Producers earn the least. Brands and retailers earn the most.

- What Gets Burned, What Gets Saved. Who controls the narrative about a commodity shapes its history.

BVC is produced by Anthony McDonald in Indianapolis, Indiana. All content is documented with peer-reviewed APA citations. No fabricated stories or unnamed expert characters appear in any episode. The curriculum brand is Learn.WitUS, hosted at CentenarianOS.com/academy.

Episode 1 Overview: Coffee

Detail	Information
Episode title	The Morning Ritual
Season	Season 1: Daily Rituals
Full runtime	35 to 40 minutes
Subjects	Geography, Social Studies, Economics, ELA (all four in one episode)
Audio access	CentenarianOS.com/academy or ask your BVC contact for the file
Recommended grade	9 to 12 (Indiana Academic Standards aligned)

Segment Map

Use CUT POINTS to navigate directly to your subject without playing the full episode.

Cut ID	Segment Title	Start Time	Duration	Subject
CUT-1A	Cold Open: A Cup of Questions	0:00	2 min	All subjects
CUT-1B	The Bean Belt	2:00	8 min	Geography
CUT-1C	From Ethiopia to Empire	10:00	8 min	Social Studies
CUT-1D	What's in Your Cup?	18:00	8 min	Economics
CUT-1E	Stories in Every Cup	26:00	8 min	ELA
CUT-1F	The Conscious Cup (Closing)	34:00	2 min	All subjects

Episode Summary

Episode 1 follows coffee from the volcanic highlands of Ethiopia through the colonial trade routes that spread it globally, to the supply chain economics that determine who earns what from the world's second-largest commodity market. Anthony McDonald opens with his morning routine in Indianapolis and traces the cup in his hand back through geography, history, economics, and literature.

Cross-curricular note: If colleagues in other departments are also piloting BVC, their students are studying the same episode through different lenses. The Season 2 finale (Episode 14) includes a cross-subject Pattern Wall activity that explicitly connects all four disciplines.

Economics Vocabulary

Introduce these terms before playing the Economics segment (CUT-1D, starting at 18:00).

Term	Definition	Coffee Application
Commodity market	A global trading system for standardized raw materials, with prices set by supply and demand.	Coffee is traded on the ICE Exchange in New York. Price changes there affect farmers worldwide.
Supply chain	All steps a product travels from raw material to consumer, including every actor who adds value.	Farm, mill, exporter, importer, roaster, retailer, consumer.
Value capture	The portion of the final sale price that each stage of the supply chain keeps.	Ethiopian farmer keeps roughly 5 to 10 percent. The cafe retailer keeps roughly 40 to 50 percent.
Smile curve	Economic model showing value capture is highest at the chain's endpoints (branding and retail) and lowest in the physical middle (farming and production).	The farmer adds irreplaceable physical value but earns the least. The brand adds perceived value and earns the most.
Fair Trade	Certification system guaranteeing minimum prices and community development funds for producers.	Fair Trade coffee guarantees a floor price of $1.80 to $2.20 per pound, buffering farmers from price crashes.
Price floor	A minimum price set above the market price to protect producers from price crashes.	Fair Trade certification provides a floor price. The commodity market has no floor.
Negative externality	A cost created by a producer that is paid by people outside the market transaction.	Coffee monoculture causes deforestation. The ecological cost is borne by ecosystems, not by coffee companies.

Price volatility	The degree to which prices fluctuate unpredictably over time.	Coffee prices swung 355 percent between the 2019 low ($0.87 per pound) and the 2025 high ($3.95 per pound).
Living income gap	The difference between what producers actually earn and what they would need to meet basic household needs.	An estimated 50 to 60 percent of coffee-growing households earn below the living income threshold.
Market concentration	When a small number of companies control a large share of a market.	The top four coffee roasters control roughly 40 percent of global retail coffee sales.

Economics Data Sheet: The Coffee Supply Chain

Global Coffee Market Snapshot (2024)

Metric	Figure	Context
Total global market	$245 to $269 billion	The world's second-largest traded commodity after oil
Annual production volume	10.5 to 11.1 million tonnes	Enough for roughly 2 trillion cups per year
Fastest growing region	Asia-Pacific (+6.2% CAGR)	China and South Korea are driving the growth
2024 retail price change	+70% in one year	Weather events in Brazil and Vietnam; highest prices since 1977
Ethiopian farmer daily wage	$2 to $3 per day	For growing beans that retail at $4 to $5 per cup in Indianapolis
Farmer's share of retail price	Roughly 5 to 10 percent	Specialty coffee is somewhat better than commodity; both are low

Supply Chain: From Farm to Cup

Stage	Actor	What They Do	Typical Earnings or Margin
1. Farm	Smallholder farmer	Grow, harvest, and dry coffee cherries by hand	$2 to $3 per day; earns roughly $0.50 to $0.80 per pound of green coffee
2. Processing	Cooperative or private mill	Remove cherry pulp; ferment and wash or dry the beans	Captures roughly $0.10 to $0.30 per pound

3. Export	Exporter in origin country	Grade, bag, and ship green coffee	Captures roughly \$0.05 to \$0.15 per pound
4. Import	Importer in consuming country	Source, quality-check, and warehouse green coffee	Captures roughly \$0.20 to \$0.50 per pound
5. Roasting	Roaster (e.g. Starbucks, Nestle, local roaster)	Roast, blend, package, and brand the coffee	Captures \$1.00 to \$3.00 per pound. This is the largest single-stage margin.
6. Retail	Cafe or grocery store	Brew and serve, or sell packaged product	A cafe turns a \$0.50 input into a \$4 to \$5 cup, capturing roughly 60 percent of the final margin.

The smile curve (Mudambi, 2008): value capture is highest at the supply chain's endpoints (design/branding on one end, marketing/retail on the other) and lowest in the physical middle. Coffee is the most teachable example of this principle. The farmer's physical labor is irreplaceable, yet earns the smallest margin. The roaster's branding is reproducible, yet earns the largest.

Historical Coffee Price Volatility

Period	Price per Pound (Arabica)	Primary Cause
2019 (historical low)	\$0.87	Oversupply and weak Brazilian currency
2021	\$1.20 to \$1.60	Post-COVID supply chain disruption
November 2024	\$3.20 (27-year high)	Simultaneous weather events in Brazil and Vietnam; depleted global stocks
July 2025	\$3.95	Continued supply pressure; record high
Average (2014 to 2024)	\$1.42	Historical baseline for comparison

Fair Trade minimum price	$1.80 to $2.20	Floor price for certified producers; above the 2019 commodity crash

Indiana connection: Indianapolis has approximately 400 independent coffee shops. When global bean prices spike 70 percent (as in 2024), local cafes face direct cost increases. Unlike Ethiopian farmers, Indianapolis cafe owners have access to forward contracts, menu price adjustments, and operating reserves. The price volatility is the same for both. The tools available to absorb it are very different.

Economics Activity: Where Does the $5 Go?

Time: 35 to 40 minutes. Materials: this packet plus a calculator.

Part 1: Price Breakdown (15 minutes)

Students calculate the dollar amount at each supply chain stage for a $5 cup of drip coffee at an Indianapolis cafe. Use these working assumptions:

- $5.00 is the retail price of one cup of drip coffee.
- One pound of roasted coffee makes approximately 48 cups.
- Green (unroasted) coffee costs the roaster approximately $3.00 per pound at current prices.
- Roasting, packaging, and brand overhead add approximately $2.50 per pound.
- Cafe overhead (rent, labor, equipment) accounts for approximately $1.50 per cup.

Calculate:

- What does the cafe pay per cup for the raw beans? ($3.00 divided by 48 cups is roughly $0.06 per cup.)
- What did the Ethiopian farmer earn for their share of this cup's beans? ($2.00 per day divided by 12 pounds harvested daily divided by 48 cups per pound is less than $0.01 per cup.)
- The farmer's earnings represent what percentage of the $5.00 retail price?

Part 2: Fair Trade Comparison (10 minutes)

If this cafe sourced certified Fair Trade coffee at $2.00 per pound (the floor price) instead of the $3.00 market rate:

- Would the farmer earn more? (Yes. The Fair Trade minimum is well above the 2019 commodity crash price of $0.87.)
- What does Fair Trade certification cost the consumer in added retail price? (Typically less than two cents per cup.)
- Why do not all cafes use Fair Trade coffee? (Sourcing complexity, consumer price sensitivity, and certification costs for farmers are the main documented barriers.)

Part 3: The Local Economy (10 minutes)

When you spend $5 at a locally owned Indianapolis cafe instead of a national chain:

- Locally owned businesses recirculate approximately 68 percent of revenue locally, compared to 43 percent for chains (American Independent Business Alliance, 2023).
- If the cafe earns $500 today, how much stays in Indianapolis's economy under each model?
- What does this suggest about the relationship between where you spend money and the local economy?

Discussion Questions

- If the Ethiopian farmer earns less than $0.01 from your $5 cup, but coffee could not exist without the farmer's labor, which economic concept (the smile curve, negative externality, or value capture) best explains this gap?
- Is the smile curve inevitable, or can it be changed? What would that require?

Economics Knowledge Checks

Use as an exit ticket, short quiz, or discussion prompt. Answer key follows.

1. **Explain the smile curve using coffee as your example. Using data from the supply chain table, identify which stage captures the most value and which captures the least. What does the farmer's position illustrate about how supply chains distribute economic value?**

2. **Coffee prices swung from $0.87 per pound in 2019 to $3.95 per pound in 2025, a 355 percent increase. How does this price volatility affect (a) Ethiopian farmers, (b) Indianapolis cafe owners, and (c) you as a consumer? Who is most protected from this volatility, and why?**

3. **Fair Trade certification sets a minimum price floor for coffee farmers. Using data from the data sheet, make the economic argument for Fair Trade. Then identify one economic limitation or criticism of the model. Both sides of your argument need evidence.**

Answer Key (teacher reference only)

Q1 expected answer:

Smile curve: value capture is highest at endpoints (branding/design and retail) and lowest in the physical middle (farming). From the supply chain table, the cafe captures $1.50 or more per cup in overhead plus the largest margin on the physical coffee, while the roaster captures $1.00 to $3.00 per pound. The Ethiopian farmer captures $0.50 to $0.80 per pound, under $0.01 per cup. The farmer adds irreplaceable physical value yet captures the smallest economic margin. Students must use specific dollar figures.

Q2 expected answer:

Ethiopian farmers are highly exposed: income fluctuates directly with commodity prices and they have no hedging tools. A 70 percent spike helps temporarily, but crashes back to $0.87 are devastating. Indianapolis cafe owners are partially exposed: they can lock in forward contracts, adjust menu prices, or use reserves. Consumers are minimally exposed: a 70 percent increase in bean prices translates to cents at retail. The farmer has the least protection despite the greatest exposure.

Q3 expected answer:

For Fair Trade: the floor price of $1.80 to $2.20 per pound protects farmers from crashes like the 2019 low of $0.87. The community development fund provides additional resources. It connects producers to consumers willing to pay a premium. Limitation: certification has upfront costs small farmers may struggle to afford; it covers only a fraction of global coffee volume; critics note the premium does not always fully reach farmers after cooperative administrative overhead. Both sides require specific figures from the data sheet.

Indiana Economics Standards Alignment

Standard	Description	Where Addressed
E.1.1	Explain how scarcity, choice, and opportunity cost affect economic decisions	Fair Trade vs. commodity sourcing decisions; farmer crop diversification choices
E.1.3	Analyze market structures and how they affect prices	Commodity market concentration; Fair Trade as an alternative market structure
E.2.2	Explain the role of prices in allocating resources	Coffee price volatility and its effects; price floors under Fair Trade
E.2.4	Describe how supply and demand determine market prices	Brazil drought reduces supply; 70 percent price spike results
E.4.2	Analyze how trade affects the U.S. and global economy	Coffee supply chain; currency exchange effects on commodity pricing
E.4.5	Describe how economic indicators measure economic performance	Supply chain value distribution as an economic indicator; the living income gap

Reviewer's Feedback Form

Your feedback directly shapes the Learn.WitUS curriculum. Please complete this form after using the materials with students.

DIGITAL VERSION: Scan the QR code below or visit the link provided by your BVC contact. Responses feed directly into a shared spreadsheet for curriculum improvement.

[QR CODE]

About You

1. **Subject you teach:**

2. **Grade level(s) in this pilot:**

3. Approximate number of students who used this material:

About the Materials

4. Which segment(s) or activities did you use?

5. Did students have sufficient background knowledge to engage? What was missing or helpful?

6. Were the Indiana Standards alignments accurate for how you teach this standard?

Student Engagement

7. Scale 1 to 5: How well did the episode hold student attention? (1 = struggled, 5 = highly engaged) Notes:

8. What specific activity or discussion moment generated the most student response?

Usability

9. Would you use this as a standalone lesson, a unit anchor, or a recurring series? Why?

10. The single change that would make this most usable in your classroom next fall:

Overall

11. Would you recommend this curriculum to a colleague? What would you say?

Responses are confidential and used only to improve Learn.WitUS curriculum. Thank you for your time and expertise. Anthony McDonald, Better Vice Club